

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester IV Examination, 2022-23

Paper: BCH-223: Specialised Accounts II

Time: 3 Hours

Maximum Marks: 70

*Instructions: Attempt all questions. All questions carry equal marks (14 marks each).***Question 1.**

Explain the various schedules which are prepared by a Commercial Bank for Balance Sheet and give their specimen. [14]

OR

From the following information, prepare Profit & Loss Account of Ram Bank Ltd. for the year ended 31st March, 2023. Also give necessary schedules: [14]

Particulars	2021-22 (Rs. 000)	2022-23 (Rs. 000)
Interest and Discount	2,045	1,427
Income from Investments	112	114
Interest on Balances with RBI	177	155
Commission	712	722
Profit on sale of Investments	122	12
Interest on Deposits	822	612
Interest paid to RBI	147	127
Payments to and provisions for Employees	855	727
Rent	179	158
Printing and Stationery	212	147
Advertisement	98	112
Depreciation	98	98
Directors' fees	212	148
Auditors' fees	110	110
Law charges	152	50
Postage, Telephones	62	48
Repairs and Maintenance	52	42
Insurance	66	57

Other Information: The following items are already adjusted with 'Interest and Discount' (Cr.):

- Rebate on bills discounted (31.03.2023): Rs. 55,000
- Loss on sale of Investments: Rs. 12,000
- Provision for Taxation: Rs. 148,000
- Provision for Doubtful Debts: Rs. 92,000

Appropriations:

- (a) 25% of profit is transferred to Statutory Reserve.
- (b) 5% of profit is transferred to Revenue Reserve.

Question 2.

Following are the balances in the books of a Railway Company for the year ended 31st March, 2023: [14]

Balances (Dr.)	Amount (Rs.)	Balances (Cr.)	Amount (Rs.)
Railway Lines	24,25,000	Share Transfer Fees	75,000
Workshop Machinery	6,00,000	Discount on Purchase	50,000
Dead Stock	2,00,000	Credit Balance of Net Revenue A/c	4,50,000
Motor Boats	1,75,000	General Interest Receipts	50,000
Land, Stations & Building	4,50,000	Rent on Leased Lines	65,000
Engines, Coaches & Wagons	8,00,000	Debenture Interest Outstanding	1,50,000
Maintenance of Lines & Stations	2,00,000	Cash in hand and with Bank	5,25,000
Taxes and Rates	62,500	Investments	12,97,500
Locomotive Power	3,50,000	Traffic A/c due to the Company	3,00,000
Compensation	1,00,000	Spares Stock	75,000
General Charges	50,000	Reserve Fund	6,00,000
Traffic Expenses	2,00,000	Fire Insurance Fund	1,55,000
Mileage and Demurrage	30,000	Debts due to Other Companies	75,000
Carriage and Wagons Repair	75,000	Sundry Creditors	1,75,000
Shipping Expenses	20,000	Outstanding Dividends and Interest	50,000
Passenger's Fare	5,75,000	Equity Share Capital	26,25,000
Parcels Freight	1,75,500	Preference Share Capital	14,25,000
Mails Freight	19,500	Debentures	8,50,000
Merchandise Freight	4,00,000	Premium on the Issue of Shares	1,50,000
Minerals Freight	2,50,000		

In the year ending on 31st March, 2023, the following additions to fixed assets were made by the company:

- Railway Lines: Rs. 3,00,000
- Workshop Machinery: Rs. 1,00,000
- Engines, Wagons and Coaches: Rs. 2,00,000
- Land, Building and Stations: Rs. 75,000

On the basis of the above information, prepare the Revenue Account, Net Revenue Account, Capital Account, and General Balance Sheet of the Company by considering the balancing figure.

OR

Point out the concept and features of Double Account System. How is it different from General Accounting System? [14]

Question 3.

What do you understand by Statement of Affairs? How is it prepared? Give a proforma of Deficiency Account. [14]

OR

Radhey Shyam commenced business on 1st January, 2019 with a capital of Rs. 67,200. His profits for five years were Rs. 21,600 and his drawings averaged Rs. 4,000 per annum. On 31st December, 2023 an order of insolvency was passed with the following details and having a balancing figure. Prepare the Statement of Affairs and Deficiency Account: [14]

- (a) Unsecured Creditors: Rs. 40,000
- (b) Mortgage on Plant: Rs. 8,000
- (c) Creditors partly secured (security being life policy of Rs. 8,000 on which premium was paid personally): Rs. 24,000
- (d) Salaries of Naveen for 3 months: Rs. 420
- (e) Wages of Ram for 6 months: Rs. 180
- (f) Landlord's rent for 2 months: Rs. 160
- (g) Owing to Government: Rs. 200
- (h) Bills Receivable discounted and expected to rank: Rs. 6,400
- (i) Plant, estimated to realize Rs. 40,000: Rs. 80,000
- (j) Machinery, estimated to realize Rs. 4,000: Rs. 16,000
- (k) Book debts:
 - (i) Good: Rs. 12,000
 - (ii) Doubtful (Estimated to realize Rs. 1,200): Rs. 2,000
 - (iii) Bad: Rs. 10,000
- (l) Furniture, estimated to realize Rs. 700: Rs. 1,600
- (m) Stock, estimated to realize Rs. 11,100: Rs. 16,000
- (n) Cash in Hand: Rs. 2,160

Question 4.

What is meant by Insurance? Prepare with imaginary figures the Revenue Account and Balance Sheet of a General Insurance Company. [14]

OR

What are the main types and principles of Insurance? Prepare a fire Revenue Account. How are 'net claims' ascertained? [14]

Question 5.

Write an explanatory note on Government Accounting.

[14]

OR

Write lucid notes on any two of the following:

[7+7]

- (a) C & AG (Comptroller and Auditor General)
- (b) Slip System
- (c) Preferential creditors in Insolvency Accounts
- (d) Re-insurance